Daily Market Brief

Thursday, October 22, 2026

AI Driven Financial Research

TODAY'S BOTTOM LINE

The jet fuel shock from the Iran war is now a confirmed earnings problem: four major US airlines have cut 2026 guidance this month even as fares and demand hold up, while rising global yields are hitting AI credit and housing alike. Leveraged neoclouds are the weakest link in the AI trade, and with initial jobless claims at 194K versus 200K expected, the labor market gives the Fed little reason to ease rate pressure.

TODAY'S MARKET OPEN

US stocks opened lower, with the Nasdaq Composite down 1.5%, the S&P 500 off 0.9% and the Dow down 0.4% at the open. The driver is deepening worry about the AI trade: Meta Platforms (META) slipped 5% at the open, Tesla (TSLA) dropped more than 2%, and Applied Materials (AMAT) and KLA (KLAC) are off about 6%. Through the rest of the session, watch oil. Brent climbed above $112, its highest since May, after a New York Times report that the U.S. and Israel plan renewed strikes on Iran.

MARKET THEMES

Fuel Cost Squeeze

Southwest Airlines (LUV) cut its 2026 adjusted EPS outlook to $2.60 to $2.85 from $3.25 to $4.25. A fourth major carrier guided to a full-year loss of $1.00 to $1.60 per share and will slow capacity growth next year. Delta Air Lines (DAL) and United Airlines (UAL) cut earlier in the month. Revenue is not the issue: Southwest's average fare rose almost 27% year over year, and Q4 unit revenue is guided up as much as 21%. Persian Gulf oil flows are nearly back to prewar levels, but traders doubt prices will ease soon, and this week's larger than expected EIA crude and gasoline draws support that caution. Expect fuel to stay the binding constraint on airline earnings into 2027, with capacity discipline the likely industry response.

AI Credit Stress

The weak spot in the AI trade has moved from equity valuations to the balance sheets of debt-funded neoclouds. The sector leader is down 29% in October, its unsecured debt yields about 15%, and its five-year CDS spread is near 1,067bp. Nebius Group (NBIS) is down 27% this month. Nvidia (NVDA) CEO Jensen Huang says neocloud demand is "off the charts" but admits capital is scarce. The financing constraint is what matters here, because rising rates directly threaten capex funding for Nvidia's fastest-growing customer cohort. Favor cash-generative AI infrastructure over leveraged builders until credit spreads stabilize.

Rates Bite Housing

The global bond rout is showing up in both portfolios and the real economy. Norway's sovereign wealth fund lost about $30 billion in Q3 on a 3.5% fixed income drawdown. In US housing, September starts came in at 1.221M versus 1.30M expected. Pending home sales fell 7.3% month over month versus a 0.5% expected decline, and the NAHB index fell to 29 versus 32 expected, even with mortgage rates easing slightly to 7.41%. The labor market is not giving way: initial claims of 194K beat the 200K forecast, though continuing claims edged up to 1.728M. That mix argues against a quick end to tightening and keeps rate-sensitive housing

equities under pressure. Friday's October PMIs and Michigan sentiment (consensus 47.6) are the next tests.

TOP STORIES

P&G Volume Turns Positive

Procter & Gamble (PG) beat estimates, with adjusted EPS of $2.00 versus $1.88 and revenue of $23.3 billion versus $22.8 billion. Volume grew 2.4%, notable after only one quarter of volume growth in fiscal 2026. The CFO again described a bifurcated consumer. Even so, positive volume at a staples bellwether suggests trade-down pressure is stabilizing, which supports defensive positioning while the broader tape is volatile.

Comcast Media Offsets Broadband Bleed

Comcast (CMCSA) beat on earnings as media revenue rose 13% to $5.4 billion. Peacock posted its second straight profitable quarter with $261 million of adjusted EBITDA, and paid subscribers reached 48 million. Connectivity revenue fell 2.7% and the company lost 144,000 domestic residential broadband customers, which reinforces the logic of the planned media spinoff. The core cable franchise remains in structural decline.

Moderna Binary Event This Weekend

Moderna (MRNA) releases full Phase 3 data for its custom cancer vaccine this weekend. The stock has been one of the year's strongest performers on this program, so expectations are elevated and the risk of a sharp Monday gap in either direction is high. Size positions accordingly before Friday's close.

IBM Slides on Q3 Results

International Business Machines (IBM) fell 5% premarket after third-quarter results, with investors still wary following its July miss. The reaction contrasts with Meta Platforms (META), which is also falling despite a strong advertising quarter. Together they show the market is punishing incumbent tech that lacks a clean near-term AI earnings narrative. JPMorgan Chase (JPM) strategists argue that lighter hedge fund positioning since September limits further index downside, but that is a positioning call, not a fundamental one.

China Enters Bear Market

The CSI 300 is down 20% from its June peak after 10 straight weekly declines. Overcapacity and price competition are eroding margins, and September industrial profit growth was the weakest of the year. The KraneShares CSI China Internet ETF (KWEB) and US multinationals with China revenue exposure face continued headwinds absent meaningful stimulus.

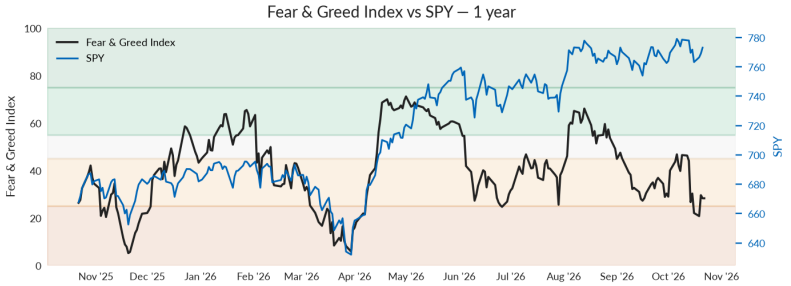
WHAT'S MOVING

Industry Rotation

The biggest change over the past five sessions came from refiners, whose momentum fell 9.4 points while they stayed up but with a trend that has now stalled. No industry turned down over the window. Application software and 8 other industries turned up. Among groups already up, healthcare information services posted the largest momentum gain, up 7.4 points with a rising trend. The number of industries in an uptrend went from 16 at the start of the window to 25 now. Computer hardware and engineering and construction are still down and getting worse, with both trends falling.

MARKET SENTIMENT





Previous close 28 · One week ago 30 · One month ago 35 · Three months ago 41 · One year ago 26

NEWS VS TAPE

News: last 14 days of claims. Momentum: median distance from the 50-day average. Breadth: share above the 200-day average. Trend: distance from the 200-day average.

SECTORS AND INDUSTRIES IN THE NEWS

TARGET	NEWS	MOMENTUM	BREADTH	READ
Marine Shipping (ind 5)	+22	+4.5%	100%	agree
Internet Content & Information (ind 18)	+19	-2.6%	33%	conflict
Copper (ind 2)	+18	-1.4%	100%	thin
Oil & Gas Refining & Marketing (ind 9)	+16	+8.5%	89%	agree
Software - Infrastructure (ind 28)	-3	+3.6%	82%	conflict
Technology (sec 158)	-4	+0.8%	61%	flat
Construction Materials (ind 12)	-23	-3.5%	33%	agree
Information Technology Services (ind 16)	-24	+7.2%	44%	agree
Trucking (ind 5)	-27	-1.8%	40%	agree
Consumer Cyclical (sec 118)	-31	-0.2%	40%	agree
Airlines, Airports & Air Services (ind 7)	-51	-6.9%	14%	agree
Semiconductors (ind 34)	-54	-6.2%	53%	agree
Residential Construction (ind 7)	-85	-4.8%	0%	agree

MACRO IN THE NEWS

TARGET	NEWS	MOMENTUM	TREND (VS 200-DAY)	READ
Oil (USO)	+60	+9.8%	+34.3%	agree
Treasury 30y (TLT)	-23	-0.2%	-4.7%	agree
Treasury 10y (IEF)	-26	-0.7%	-3.5%	agree
Credit (HYG)	-49	-1.4%	-3.1%	agree
Treasury 2y (SHY)	-70	-0.2%	-0.9%	agree

ALL SECTORS - TAPE ONLY

TARGET	MOMENTUM	BREADTH	READ
Energy	+2.0%	67%	up
Healthcare	+1.6%	64%	up
Utilities	+0.9%	23%	down
Consumer Defensive	+0.8%	57%	flat
Technology	+0.8%	61%	flat
Consumer Cyclical	-0.2%	40%	down
Financial Services	-0.8%	62%	flat
Industrials	-1.9%	45%	down
Communication Services	-2.8%	43%	down
Basic Materials	-3.4%	49%	down
Real Estate	-3.9%	24%	down

BIGGEST PRICE MOVERS

Close 2026-10-21. The largest one-day moves, up or down, among stocks priced at $5 or more with $100M or more traded; ETFs and funds excluded. Ordered from biggest gainer to biggest loser. Bar: day change, full bar at 20%.

#	TICKER	NAME	INDUSTRY	$ VOLUME	VS 20D	DAY CHANGE	READ
1	SMCI	Super Micro Computer, Inc.	Computer Hardware	$2.9B	2.4x	+9.55%	Up
2	CRL	Charles River Laboratories Internatio.	Medical - Diagnostics & Resear.	$943M	2.8x	+9.33%	Up
3	SPCX	Space Exploration Technologies Corp.	Aerospace & Defense	$34.7B	2.6x	+7.79%	Up
4	MSTR	Strategy Inc	Software - Application	$3.4B	1.2x	+7.54%	Up
5	BE	Bloom Energy Corporation	Electrical Equipment & Parts	$2.9B	0.9x	+7.13%	Up
6	RH	Rh	Specialty Retail	$129M	1.2x	+6.91%	Up
7	MDB	MongoDB, Inc.	Software - Infrastructure	$980M	0.8x	+6.71%	Up
8	DDOG	Datadog, Inc.	Software - Application	$786M	1.0x	+6.50%	Up
9	CRDO	Credo Technology Group Holding Ltd	Semiconductors	$1.3B	0.9x	+6.28%	Up
10	CIEN	Ciena Corporation	Communication Equipment	$1.1B	1.0x	+5.67%	Up
11	NET	Cloudflare, Inc.	Software - Infrastructure	$1.1B	-	+5.32%	Up
12	AN	AutoNation, Inc.	Auto - Dealerships	$108M	1.3x	-5.49%	Down
13	DXCM	DexCom, Inc.	Medical - Devices	$642M	2.5x	-6.39%	Down
14	T	AT&T Inc.	Telecommunications Services	$1.8B	1.9x	-6.45%	Down
15	WING	Wingstop Inc.	Restaurants	$159M	1.1x	-7.95%	Down

MOST ACTIVE OPTIONS - BY CONTRACT VOLUME

Close 2026-10-21. Ranked by contracts traded; ETFs shown. Bar: call versus put positioning weighted by delta, from -1 to +1, full bar at 0.6. Bullish at +0.15 or more, Bearish at -0.15 or less. Option volume counts buyers and sellers alike, so the bias shows positioning, not proven buying. P/C is the put/call volume ratio and does not set the label. For ETFs the industry column shows what the fund tracks.

#	TICKER	NAME	INDUSTRY	CONTRACTS	P/C	CALL / PUT BIAS	READ
1	SPY	State Street SPDR S&P 500 ETF	S&P 500	11.83M	1.01	+0.21	Bullish
2	QQQ	Invesco QQQ Trust, Series 1	Nasdaq 100	7.51M	1.05	-0.18	Bearish
3	SPCX	Space Exploration Technologies Corp.	Aerospace & Defense	3.35M	0.70	+0.01	Mixed
4	NVDA	NVIDIA Corporation	Semiconductors	2.63M	0.58	+0.60	Bullish
5	IWM	iShares Russell 2000 ETF	Small Caps	1.91M	1.32	-0.28	Bearish
6	AAPL	Apple Inc.	Consumer Electronics	1.54M	0.89	+0.39	Bullish
7	TSLA	Tesla, Inc.	Auto - Manufacturers	1.06M	0.71	+0.38	Bullish
8	MU	Micron Technology, Inc.	Semiconductors	1.01M	0.65	+0.34	Bullish
9	NFLX	Netflix, Inc.	Entertainment	999K	0.61	-0.08	Mixed
10	AMZN	Amazon.com, Inc.	Specialty Retail	773K	0.46	+0.46	Bullish
11	GOOGL	Alphabet Inc.	Internet Content & Information	692K	0.41	+0.53	Bullish
12	IBIT	iShares Bitcoin Trust ETF	Bitcoin	620K	0.64	+0.46	Bullish
13	AMD	Advanced Micro Devices, Inc.	Semiconductors	614K	0.68	+0.47	Bullish
14	META	Meta Platforms, Inc.	Internet Content & Information	585K	0.66	+0.12	Mixed
15	INTC	Intel Corp.	Semiconductors	487K	0.38	+0.56	Bullish

INDUSTRY TAPE

Prices as of 2026-10-21. Momentum: median distance from the 50-day average. Breadth: share above the 200-day average. Industries with fewer than 5 names omitted. Sorted within each sector: up, flat, down, then by momentum.

SECTOR / INDUSTRY (NAMES)	MOMENTUM	BREADTH	READ
Basic Materials (72)	-3.4%	49%	down
Steel (5)	+3.7%	80%	up
Chemicals - Specialty (20)	+0.2%	60%	flat
Construction Materials (12)	-3.5%	33%	down
Gold (14)	-4.9%	50%	down
Chemicals (7)	-6.0%	29%	down
Communication Services (42)	-2.8%	43%	down
Entertainment (10)	+1.8%	60%	up
Internet Content & Information (18)	-2.6%	33%	down
Telecommunications Services (8)	-7.4%	12%	down
Consumer Cyclical (118)	-0.2%	40%	down
Specialty Retail (21)	+3.4%	57%	up
Packaging & Containers (6)	+2.9%	67%	up
Travel Services (8)	+1.4%	50%	flat
Restaurants (15)	+0.8%	53%	flat
Leisure (8)	+1.2%	38%	down
Auto - Manufacturers (6)	-2.7%	50%	down
Auto - Parts (7)	-3.1%	14%	down
Residential Construction (7)	-4.8%	0%	down
Gambling, Resorts & Casinos (6)	-8.5%	0%	down
Auto - Dealerships (5)	-8.9%	20%	down
Furnishings, Fixtures & Appliances (6)	-11.3%	17%	down
Consumer Defensive (63)	+0.8%	57%	flat
Discount Stores (7)	+5.5%	100%	up
Household & Personal Products (14)	+4.2%	86%	up
Packaged Foods (16)	-2.8%	25%	down
Energy (66)	+2.0%	67%	up
Oil & Gas Refining & Marketing (9)	+8.5%	89%	up
Oil & Gas Integrated (5)	+7.9%	100%	up
Oil & Gas Explor. & Prod. (25)	+3.8%	72%	up
Oil & Gas Drilling (5)	+1.9%	60%	up
Oil & Gas Midstream (8)	+1.9%	75%	up
Oil & Gas Equipment & Services (9)	-3.9%	44%	down
Financial Services (167)	-0.8%	62%	flat
Data & Stock Exchanges (11)	+6.8%	91%	up
Insurance - Brokers (5)	+6.0%	80%	up
Insurance - Property & Casualty (13)	+3.2%	85%	up
Insurance - Diversified (5)	+3.0%	80%	up
Insurance - Life (5)	+2.7%	100%	up
Financial - Credit Services (13)	-0.1%	46%	flat
Banks - Regional (74)	-0.8%	68%	flat
Banks - Diversified (5)	-1.7%	40%	down
Asset Management (20)	-4.8%	35%	down
Financial - Capital Markets (6)	-6.8%	0%	down

SECTOR / INDUSTRY (NAMES)	MOMENTUM	BREADTH	READ
Healthcare (125)	+1.6%	64%	up
Healthcare Information Services (6)	+9.2%	83%	up
Diagnostics & Research (12)	+8.5%	83%	up
Healthcare Plans (7)	+6.8%	100%	up
Drug Manufacturers - General (9)	+6.6%	100%	up
Instruments & Supplies (12)	+5.0%	67%	up
Care Facilities (7)	+2.9%	86%	up
Drug Mfrs. - Specialty & Generic (7)	-0.1%	57%	flat
Devices (18)	+0.4%	44%	down
Biotechnology (41)	-5.4%	44%	down
Industrials (155)	-1.9%	45%	down
Marine Shipping (5)	+4.5%	100%	up
Specialty Business Services (13)	+0.8%	69%	flat
Railroads (6)	+0.8%	67%	flat
Conglomerates (5)	+0.1%	60%	flat
Staffing & Employment Services (6)	-0.2%	83%	flat
Industrial - Distribution (5)	-0.4%	60%	flat
Industrial - Machinery (32)	-0.9%	41%	down
Integrated Freight & Logistics (7)	-1.3%	43%	down
Trucking (5)	-1.8%	40%	down
Electrical Equipment & Parts (9)	-5.5%	33%	down
Aerospace & Defense (22)	-6.1%	4%	down
Airlines (7)	-6.9%	14%	down
Engineering & Construction (8)	-8.4%	25%	down
Real Estate (59)	-3.9%	24%	down
REIT - Industrial (6)	-0.5%	17%	down
REIT - Residential (7)	-2.7%	14%	down
REIT - Specialty (8)	-2.9%	38%	down
REIT - Retail (11)	-4.4%	9%	down
REIT - Office (6)	-6.5%	33%	down
REIT - Diversified (5)	-6.6%	0%	down
REIT - Mortgage (6)	-14.6%	0%	down
Technology (158)	+0.8%	61%	flat
Software - Application (43)	+6.1%	63%	up
Software - Infrastructure (28)	+3.6%	82%	up
Information Technology Services (16)	+7.2%	44%	down
Hardware, Equipment & Parts (14)	-3.5%	50%	down
Computer Hardware (9)	-5.3%	78%	down
Communication Equipment (10)	-5.5%	50%	down
Semiconductors (34)	-6.2%	53%	down
Utilities (44)	+0.9%	23%	down
Regulated Electric (26)	+1.4%	31%	down
Renewable Utilities (6)	-3.0%	0%	down

ECONOMIC CALENDAR

Time (ET)	Event	Prior	Forecast	Actual
MONDAY, OCT 19				
10:00a	NAHB Housing Market Index (Oct)	32	32	29
TUESDAY, OCT 20				
8:30a	Housing Starts MoM (Sep)	-5.9	1.9	-5.2
8:30a	Building Permits (Sep) Permits near forecast suggests steady housing demand; watch for trend confirmation.	1.403	1.39	1.4
8:30a	Building Permits MoM (Sep)	-2.1	-0.7	-0.2
8:30a	Housing Starts (Sep) Starts missed forecast significantly; monitor whether weakness signals broader housing slowdown.	1.288	1.3	1.221
10:00a	Pending Home Sales MoM (Sep)	0.3	-0.5	-7.3
10:00a	Pending Home Sales YoY (Sep)	-4.7	1	-11.3
4:30p	API Crude Oil Stock Change (Oct/16)	-11.12	-1.3	-4.93
WEDNESDAY, OCT 21				
7:00a	MBA 30-Year Mortgage Rate (Oct/16)	7.5	-	7.41
10:30a	EIA Crude Oil Stocks Change (Oct/16)	-8.557	-0.8	-3.061
10:30a	EIA Gasoline Stocks Change (Oct/16)	3.518	-0.4	-2.952
THURSDAY, OCT 22				
8:30a	Continuing Jobless Claims (Oct/10) Continuing claims rose above forecast; watch for sustained labor market softening.	1703	1720	1728
8:30a	Initial Jobless Claims (Oct/17) Initial claims beat forecast; indicates resilient job market despite recent weakness.	200	200	194
8:30a	Jobless Claims 4-Week Average (Oct/17) Four-week average declined; suggests improving layoff trends underlying jobless claims data.	198.75	200	197.75
FRIDAY, OCT 23				
9:45a	S&P Global Services PMI (Oct)	58.8	58	-
9:45a	S&P Global Manufacturing PMI (Oct)	55.9	55.5	-
9:45a	S&P Global Composite PMI (Oct)	58.4	57.6	-
10:00a	Michigan Consumer Sentiment (Oct) Sentiment data pending; watch for consumer confidence direction on economic outlook.	48.1	47.6	-
3:30p	CFTC Nasdaq 100 speculative net positions	48.5	-	-
3:30p	CFTC Gold Speculative net positions	207.9	-	-
3:30p	CFTC S&P 500 speculative net positions	-141	-	-
3:30p	CFTC Crude Oil speculative net positions	100.3	-	-